PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

NAMANGA SECONDARY

FORM FOUR MOCK EXAMINATION

CODE: 062 **BOOK KEEPING**

Time: 3 Hours
March, 2024

Instructions

1. This paper consists of sections A, B and C with a total of **eight (8)** questions.
2. Answer **ALL** questions.
3. All writing must be in blue or black ink.
4. All answers must be written in the spaces provided.
5. Calculators, cellular phones and any unauthorized materials are **not** allowed in the examination room

FOR EXAMINER'S USE ONLY		
QUESTION NUMBER	**SCORE**	**EXAMINER'S INITIALS**
1		
2		
3		
4		
5		
6		
7		
8		
9		
TOTAL		
CHECKER'S INITIALS		

SECTION A (15 Marks)

Answer **all** questions in this section.

1. For each of the items (i)-(x), choose the correct answer from among the given alternatives and write its letter in the box provided.

(i) Which of the following is best describes as fixed assets?

A. Expensive items bought for the business

B. Items having long life and not bought for resale

C. Items which will not wear out quickly D. Items bought to be used by the business (ii) What is a cash receipt?

A. Is a documentary evidence for cash paid

B. Is a documentary evidence for sale of goods

C. Is a documentary evidence for cash received D. Is a documentary evidence for purchase of goods (iii) How does the contra entry occur?

A. When double entry is completed within the cash account

B. When double entry is completed with the bank account

C. When the double entry is not completed within the same book

D. When double entry is completed within the same cash account (iv) Which of the following should not be called sales? A. Sales of unwanted furniture

B. Sales of goods on credit

C. Cash sales

D. Sales of goods

(v) The following are sources of documents:

A. Sales, Credit note, Cheques

B. Cheques, Invoice, Cheques paid

C. Credit note, Debit note,Cash

D. Invoices, Cash receipt, Debit note

(vi) The subsidiary book where we record small cash payments is the.. A. Petty cash book

B. Cash book

C. Bank account

D. Payments

(vii) Which of the following is given to traders only?

A. Cash discount

B. Trade discount

C. Quantity discount

D. Settlement discount

(viii) Working capital means

A. Total of fixed assets plus current assets

B. Excess of the current assets over current liabilities
C. Amount of capital invested by the proprietor
D. Capital less drawings

(ix) The descending order in which current assets should be shown in the balance sheet are:

A. Cash, bank, debtors and stock
B. Stock debtors, cash and bank
C. Stock, debtors, bank, and cash
D. Cash, debtors, bank, stock

(x) Which of the following statement is incorrect?

A. Assets – capital = liabilities
B. Liabilities + capital = assets
C. Liabilities + assets = capital
D. Assets – liabilities =capital

Answers;

i	ii	iii	iv	v	vi	vii	viii	ix	X

2. Match the explanation of accounting concept in **Column A** with the corresponding names in **Column B** by writing the letter of the correct response beside the item number in box provided,

COLUMN A	**COLUMN B**
(i) The concept which separate business affairs from the business ownership (ii) The concept which assumes that business operation will continue for long period of time without ceasing (iii) The concept under which non- current assets are recorded in the books of accounts at the price paid to acquire the asset. (iv) The concept which relates expenses incurred during the accounting period with the revenue recognized during the same period. (v) The concept under which revenue is recognized when its earned and expenses are recognized when they are incurred	A. Dual aspect concept B. Accounting period concept C. Business entity concept D. Accrual concept E. Historical cost concept F. Going concern concept G. Matching concept

(i)	(ii)	(iii)	(iv)	(v)

SECTION B (40 Marks)

Attempt **all** questions from this section

3. Juma is a form one student at Mtakuja secondary school whoever she is in dilemma to go science or studying book keeping. Briefly elaborate to her on how book keeping would contribute in her life with relevant examples

i. .....
ii. .....
iii. .....
iv. .....
v. .....

4. Briefly explain any five reasons why some people returns goods to their suppliers

i. .....
..... ii.
.....
.....
iii. .....
. .....
iv. .....
. .....
v. .....
.
.....

5. Indicate the following whether nominal, Real or personal.

S/No. Name of account	Classification of Account
1. Cash account	_____
2. Boneli account	_____
3. Capital account	_____
4. Computer account	_____
5. Sales account	_____
6. Carriage account	_____
7. Wages account	_____
8. Genesi's account	_____
9. Machine account	_____
10. Shuayb account	_____

6. The following is the business information of Tabata rental store for the year ended 31st December 2021

Rent paid in advance 1/1/2021 was Tzs 10,000
Rent paid in arrears 1/1/2021 was Tzs 5,000
Rent paid during the year was Tzs 50,000
Rent paid in advace 31/12/2021 was Tzs 7,000
Rent paid in arrears 31/12/2021 was Tzs 5,000
Insurance paid in advance 1/1/2021 was Tzs 5,00
Insurance paid in arreas 1/1/2021 was Tzs 2,000
Insurance paid during the year was Tzs 30,000
Insurance paid in advance 31/12/2021 Tzs 1,000
Insurance paid in arrears 31/12/2021 Tzs 500

SECTION C (45 Marks) Answer all questions on this section

7. From the following information of Jitahidi Unaweza shopping Centre, Prepare the Bank and Cash Accounts and balance off the accounts at 30th April 2023.

DATE		TZS
1st April	Started business with capital in cash	200,000
2nd April	Paid rent by cash	46,000
3rd April	Adolf lent Jitahidi unaweza and paid directly into her bank account	400,000
4th April	Jitahidi unaweza paid Nyanza by cheque	172,000
5th April	Cash sales	38,000
7th April	Pendo paid Jitahidi Unaweza	68,000
9th April	Jitahidi Unaweza paid Kitambi in cash	184,000
11th April	Cash sales paid direct into bank	302,000
15th April	P. Mkota paid Jitahidi Unaweza in cash	192,000
16th April	Jitahidi Unaweza took out of cash till and paid it into the bank account	20,000
19th April	Jitahidi Unaweza repaid Kapiga by cheque	100,000
22th April	Cash sales paid direct into the bank	24,400
26th April	Paid motor expenses by cheque	15,000
30th April	Withdrew cash from the bank for business use	40,000
30thAPril	Paid wages in cash	64,000

8. Luanda provision store had the following balances on 1st May 2017
   Cash Tshs. 29,000
   Bank Tshs. 654,000

Debtors:		**Creditors**	
K. Ocholatsh. 120,000		T. Olootsh. 60,000	
S. Ayako	Tsh.280, 000	Kairo Distributors	TSH. 440,000
J. Mango	tsh. 40,000	Makori investment	Tshs. 100,000

During the month, the following transactions took place:
May 2: K .ochola paid his account by cheque less 2.5% cash discount.
May 3: paid Makori investments their account by cheque less 5% discount.
May 8: Withdrew Tsh. 100,000 cash from the bank for business use.
May 11: S. Ayako settled her account by cheque less 2.5% Cash discount
May 15: paid wages in cash Tsh. 90,000
May 20: J. Mango paid his account in cash deducting 2.5% cash discount May 25: Bought furniture and fittings and paid by chequetsh. 250,000
May 28 Cash sales Tshs. 250,000
May 29: Deposited Tsh. 250,000 from the cash till into the business bank account May 29: paid T. Oloo in cash , less a cash discount 5%.
May 30: Paid Kairo distributors by cheque less 5% cash discount **Required.**
Open cash book to record the above information.

9. The trial balance below belongs to Kamwezi traders of mbeya for the year ended 31st December, 2013

DETAILS	**DR**	**CR**
Inventory 1st January,2013	9,500	
Purchases and sales	11,500	28,500
Capital		44,800
Land and Building	19,000	
Machinery	22,000	
Carriage inwards	1,200	
Carriage outwards	1,700	
Returns	1,000	800
Motor vans	16,000	
Debtors	9,000	
Creditors		17,000
Salaries and wages	3,000	
Rent and rates	1,500	
Discounts	1,000	3,500
Insurance	1,000	
Loan from CRDB		10,000
Drawings	2,200	
Cash at bank	2,000	
Cash in hand	3,000	
	104,600	**104,600**

Additional information; inventory 1st December, 2013 was 2,000

Required;

(a) Income statement for the year ended 31st December, 2013

(b) Statement for financial position as at 31st December,2013

THE PRESIDET'S OFFICE - RALG
MVOMERO DISTRICT COUNCIL
FORM TWOT PRE MOCK EXAMINATION
MARKING SCHEME
BOOK KEEPING

1. (1 mark each item total 10 marks)

I	ii	iii	iv	v	vi	vii	viii	ix	x
B	C	D	A	D	A	B	B	C	C

2. **(1 mark each item total 5 marks)**

i	ii	iii	iv	v
C	F	E	G	D

3. **Objectives of book keeping**

(i) Determination of profit or Loss
(ii) Knowledge of credit dealings
(iii) Business control
(iv) Reliable financial position (v) Fair tax assessment
(Well explained @ point 2marks total 10 Marks)

4. **Reasons for returning goods to the supplier**

(i) Expired goods
(ii) Poor quality goods
(iii) Wrong colour
(iv) Wrong brand
(v) Wrong quantity
(vi) Damage in transit
(vii) Difficult to use (viii) Wrong size
(Any five points briefly explained @ 2x5 total 10 Marks)

MsomiBora.com

5. 1.Real account
2.Personal account
3. Norminal account
4.Real account
5.Nominal account

6. Nominal account
7. Nominal account
8. Personal account
9. real account
10. Personal account

6. Reasons for the disagreement between bank statement and the Cash book

i. Unpresented Cheque

ii. Uncredited Cheque iii.

Dishonored cheque iv.

Standing order

v. Bank charges

(Any five points 2 marks @ with explaination)

7. **JITAHIDI UNAWEZA 'S SHOPPING CENTRE**

DR CASH ACC OUNT CR

DATE	DETAILS	F	AMOUNT	DATE	DETAILS	F	AMOUNT
1.4.2023	Capital'		200,000√	2.4.2023	Rent		46,000√
5.4.2023	Sales		38,000√	9.4.2023	Kitambi		184,000√
7.4.2023	Pendo		68,000√	16.4.2023	Bank	'C'	20,000√
15.4.2023	P.Mkota		192,000√	30.4.2023	Wages		64,000√
30.4.2023	Bank	'C'	40,000√	30.4.2023	Balance	c/d	**224,000**√
			538,000√				**538,000**√
1.5.2023	Balance	b/d	**224,000**√				

DR BANK ACC0UNT CR

DATE	DETAILS	F	AMOUNT	DATE	DETAILS	F	AMOUNT
3.4.2023							
11.4.2023	Adolf		400,000√	4.4.2023	Nyanza		172,000√
16.4.2023	Sales		302,000√	19.4.2023	Kapiga		100,000√
22.4.2023	Cash	'C'	20,000√	26.4.2023	Motor expenses		15,000√
	Sales		24,400√	30.4.2023	Cash	'C'	40,000√
				30.4.2023	Balance	b/d	**419.400**√

1.5.2018	Balance	b/d	**746,400**√				**746,400**√
			419,400√				

(0.6 Marks @ 25 Total 15 Marks)

8. LUANDA PROVISION STORE

DATE	DEDTAILS	F	DISC ALL.	CASH	BANK	DATE	DETAIL	F	DISC REC.	CASH	BANK
2017											
1.5.	Balance			29,000	654,000				5000		
2.5.	K. Ochola	b/d	3000		117,000	3.5.	Makori I.				95,000
8.5.	Bank	C		100000				C			
11.5	S.Ayako		7000		273,000	8.5	Cash				100000
20.5	J. Mango		1000	39,000		15/5	Wages			90000	
28.5	Sales			250000		25/	Fur & Fit	C			250000
29.5	Cash	C			250,000	29	Bank		3000	250000	
							T.Oloo			57,000	
									22000		
						30.	Kairo Di				418000
						30	Balance c/d			21,000	431000
			11000	418000	1294000				30000	418000	1294000
1.6	Balance	b/d		21000	431,000						

(0.6 @ Tick x25= 15 Marks)

9. INCOME STATEMENT AS AT 31ST DECEMBER, 2013

Sales		28,500	
Les; Return inwards		1,000	**27,500**
Less; Cost of sales			
Opening stock		9,500	
Add; purchases	11,500		
+ Carriage Inward	1,200		
-Return Outward	(800)	*11,900*	
Cost of goods available for sale		**21,400**	
Less; Closing stock		2,000	*19,400*
Gross profit			**8,100**
Add; Other Incomes			
Discount allowed			3,500
Total incomes			**11,600**
Less; Expenses			
Discount allowed		1,000	
Carriage Outward		1,700	
Salaries and wages		3,000	
Rent and Rates		1,500	
Insurance		1,000	*8,200*
Net profit			**3,400 (b)**

STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER, 2013

NON-CURRENT ASSETR			
Land and building		19,000	
Machinery		22,000	
Motor van		16,000	*57,000*
CURRENT ASSETS			
Debtors	9000		
Bank	2000		
Cash	3000		
Stock	2000	*16,000*	
CURRENT LIABILITIES			
Creditors		17,000	
Working capital			(1,000)
Capital employed	**56,0000**		
FINNACED BY;			
Capital	44,800		
Add; net profit	3,400		
	48,200		
Less; Drawings	2,200	*46,000*	
LONG TERM LIABILITIES			
Loan from CRDB		10,000	**56,000**